



Why We Need Surety Bonds

SFAA THE SURETY &
FIDELITY ASSOCIATION
OF AMERICA
www.surety.org

A report from Ernst & Young makes it clear: 'Bonded portfolios outperform unbonded portfolios. They simply have a lower cost.'

By Peter Roth

Across the country, crucial public infrastructure projects are ramping up—highways, bridges, water projects, hospitals, schools—meeting community priorities that have often been deferred for decades. The Infrastructure Investment and Jobs Act is pouring \$1.2 trillion in federal funding into construction projects across the country, which will be matched by at least the same amount in state funds. It's an exciting time for the construction industry.

For contractors large and small, surety bonds can mean the difference between getting a job or not. Surety bonds ensure that contractors are appropriately vetted in the prequalification process to confirm relevant work experience with similar projects, sufficient workforce and expertise to undertake the entire backlog of work contemplated and the financial ability to cash-flow a project through completion, paying all workers, subcontractors and suppliers.

The Economic Value of Surety Bonds

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Surety protects public projects

Unbonded construction projects are more likely to default than bonded projects — perhaps by **10 times**.



Surety saves time and tax dollars

When a contractor defaults on an unbonded construction project, the cost of completion is **85% higher** than on projects protected by surety bonds.



Bonded projects cost less than unbonded projects

75% of public project owners report that surety bonding reduces contractor pricing by an **average of 3.2%**.

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*All data based
on analysis by



For the full report, scan the QR code.



All data in this document based on analysis prepared by EY. Survey results based on EY-SFAA Value of Surety Survey (September 2021).

To download the full version of “The Economic Value of Surety Bonds,” visit:

surety.org/suretyprotects

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The Surety & Fidelity Association of America commissioned Ernst & Young’s Quantitative Economics and Statistics to analyze the value of surety bonding for “The Economic Value of Surety Bonds,” a report that quantifies the role surety bonds play in infrastructure development and the benefits of surety bonds for a portfolio of public or private construction projects. “A key finding,” says Robert Carroll, principal and co-leader of EY’s QUEST Group, “is that bonded portfolios, fundamentally and generally, outperform nonbonded portfolios. They simply have a lower cost.”

Key benefits include:

- Bonded projects cost less than unbonded projects. Seventy-five percent of project owners report that surety bonding reduces contractor pricing by an average of 3.2%.
- Unbonded projects default 2.5 to 10 times more often than bonded projects.
- Bonded projects have a lower cost of completion. Unbonded projects cost 85% more upon default and take at least two times longer to complete.
- One-hundred percent of construction-default experts interviewed reported sureties have the expertise, tools and resources to complete a project after a default occurs, and owners do not.
- Five times as many project owners reported that bonded projects are more likely to be completed on time or ahead of schedule, and contractors prioritize bonded projects more than unbonded ones.
- There are payment protections for workers, subcontractors and suppliers if the general contractor defaults.

These bonds make larger, more lucrative projects attainable for contractors who demonstrate consistent performance. However, the partnership between surety companies and contractors goes beyond a single financial transaction. If a contractor encounters difficulty completing a project, they can look to the surety provider for expert assistance and resources to get the project back on track. Surety bonds will ensure these projects are completed responsibly and efficiently. Hence, communities reap the benefits of public investments, taxpayer dollars are spent wisely, and workers, subcontractors and suppliers are protected in the case of default.

For those who have never been bonded or want to understand how to expand bonding capacity knowledge, the SFAA/NASBP Contractor Bonding Education & Mentoring Program is a free resource that helps small, new, emerging, minority-owned and/or disadvantaged contractors learn how to qualify for surety bonds. The program is completely online and can be completed at your convenience in one to four hours. Upon completion, a contractor can enroll in the program’s mentoring phase, which provides one-on-one mentoring with leading surety industry experts.

In addition to making use of the Education & Mentoring Program, contractors are encouraged to contact a bond producer or surety company to discuss specific business objectives and begin a relationship. Surety has been a part of public construction for nearly 100 years, so, unsurprisingly, this financial instrument tends to fade into the background. But surety brings real, tangible benefits to an inherently risky business. ♦

PETER ROTH is vice president of strategic communications, marketing and research for the Surety & Fidelity Association of America. For more information, visit surety.org.